

INDUSTRY METRICS MULTIPLE

Every industry has its own (Key Performance Indicator) KPI. Suppose you run a fintech company that lends money through app. So, your metric will be - loan book size. You could be valued based on your loan book size. You can use such multiples based on different industries.

You may value your company at 2X of your loan book(Hypothetical). So, If your loan book size is Rs 2 crores you may value at Rs. 4 crores. This way you can use an industry KPI multiple.

Other examples include:

If you are a social media company, then your metric can be - the number of users.

For an eCommerce platform, it can be Gross Merchandise Value (GMV) or the total value of the products being sold through your platform.

An educational institution or company can use the total number of students or sales as the valuation metric.

USERS



GMV



STUDENTS



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